selected
financial data

(In Thousands, Except Per Share Amounts)	2004*	2003	2002	2001	2000
Operations					
Net Sales**	**$4,779,875**	$4,200,328	$3,910,314	$3,885,244	$3,473,849
Net Earnings	**231,663**	185,779	189,322	182,441	170,217
Percent of Sales	**4.85%**	4.42%	4.84%	4.70%	4.90%
Wage Costs	**795,119**	730,161	668,420	617,693	528,746
Total Taxes (Excluding Payroll Tax)	**147,591**	118,157	118,671	114,589	105,537
Depreciation and Amortization	**94,745**	88,020	83,238	90,193	65,886
Financial Position					
Working Capital	**$ 565,037**	$ 381,984	$ 552,059	$ 463,078	$ 368,484
Properties (Net)	**704,237**	701,342	652,678	679,930	541,549
Total Assets	**2,533,968**	2,393,121	2,220,196	2,162,698	1,641,940
Long-term Debt					
Less Current Maturities	**361,510**	395,273	409,648	462,407	145,928
Shareholders' Investment	**1,399,248**	1,252,735	1,115,255	995,881	873,877
Per Share of Common Stock					
Net Earnings – Basic	**1.67**	1.34	1.36	1.32	1.21
Net Earnings – Diluted	**1.65**	1.33	1.35	1.30	1.20
Dividends	**0.45**	0.42	0.39	0.37	0.35
Shareholders' Investment	**10.15**	9.04	8.06	7.18	6.31

*53 Weeks

**Adjusted for the impact of EITF 01-9, "Accounting for Consideration Given by a Vendor to a Customer (Including a Reseller of the Vendor's Products)." EITF 01-9 relates to the income statement classification of advertising and promotional costs. The company applied the consensus as of the beginning of fiscal 2002, and reclassified certain marketing expenses as reductions of revenue. The marketing expenses that were reclassified included consumer coupon redemption, off-invoice allowances, and various marketing performance funds. There was no impact to operating income or net earnings. The impact of the reclassification on other years presented was a reduction in net sales of $238,868 in 2001 and $201,283 in 2000.

management's discussion and analysis of
financial condition and results of operations (In Thousands of Dollars, Except Per Share Amounts)

Critical Accounting Policies

Hormel Foods' discussion and analysis of its financial condition and results of operations are based upon the company's consolidated financial statements, which have been prepared in accordance with U.S. generally accepted accounting principles. The preparation of these financial statements requires the company to make estimates and judgments that affect the reported amounts of assets, liabilities, revenues and expenses, and related disclosure of contingent assets and liabilities. The company evaluates, on an on-going basis, its estimates for reasonableness as changes occur in its business environment. The company bases its estimates on experience, the use of independent third-party specialists, and various other assumptions that are believed to be reasonable under the circumstances, the results of which form the basis for making judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions or conditions.

Critical accounting policies are defined as those that are reflective of significant judgments, estimates, and uncertainties, and potentially result in materially different results under different assumptions and conditions. Hormel Foods believes the following are its critical accounting policies:

Inventory valuation: The company values its pork inventories at the lower of cost or USDA market prices (primal values). When the carcasses are disassembled and transferred from primal processing to various manufacturing departments, the primal values, as adjusted by the company for product specifications and further processing, become the basis for calculating inventory values. In addition, substantially all inventoriable expenses, packaging, and supplies are valued by the last-in, first-out method.

Turkey raw materials are represented by the deboned meat quantities realized at the end of the boning lines. The company values these raw materials using a concept referred to as the "meat cost pool." The meat cost pool is determined by combining the cost to grow turkeys with processing costs, less any net sales revenue

	intended use. The detection of pathogens should be performed by molecular methods, such as polymerase chain reaction. • In addition, the contractor should ensure that all participating laboratories, performing the molecular and serology diagnostics, are producing comparable results and are taking part to a standardisation assessment, which will be agreed with ECDC.		
DL 1.2.2. Update of ECDC report describing new and previous participating study sites, with standard template across study sites	The contractor will update the report based on a previous version provided by ECDC. The report will describe all the participating study sites. The report will include the full list of participating sites with a named focal point, each study site type and size, status of COVID-19 vaccination campaign. Standard template to be used across sites.	Every two years	Word - ECDC template Power point
Task 3: Implementation of surveillance activities and of the studies The contractor is expected to support the countries/study sites in aiming to implement all objectives of the ECDC Hospital network, which may be subject to revision by ECDC over the course of the framework contract, progressively or concomitantly depending on the countries/study sites characteristics. The contractor is expected to work in close collaboration with the study sites.			
Deliverable (DL)	Description	Estimated frequency/ Volume	File / form at type
DL 1.3.1. Update of current ECDC Protocol for SARI surveillance	Update of protocol to include new, scientifically relevant questions, definitions, processes, procedures, statistical analysis plan. All protocols will need to be designed to ensure compatibility with the TESSy platform and shall provide schemes/identify data flows to ensure that the highest proportion of sequencing is performed, through the national schemes or for example with support from ECDC.	Three times during the duration of the FWC	Word – ECDC template
DL 1.3.2. Update of current ECDC COVID-19 vaccine effectiveness Protocol	Update of protocol to include new, scientifically relevant questions, definition, processes and procedures. Foreseen updates of the protocol may include the influenza component, after the ECDC protocol for influenza vaccine effectiveness has been delivered.	Three times during the duration of the FWC	Word – ECDC template

RENAULT NISSAN

Allied for Independent Success

Various Models

From the B Platform



CLIO



MARCH/MICRA

From the C Platform



MEGANE



SERENA

NISSAN Value-Up has set aggressive objectives for sustainable growth at Nissan, and Alliance support is a key to attaining those objectives. While its role is not rigidly defined, the Alliance will nevertheless be an integral player in the process.

A major change in the Alliance is that Carlos Ghosn now serves as CEO of Renault and Nissan. As the chair of the executive committees for both companies, he has an invaluable dual perspective that will help us solve major issues, identify fresh opportunities, and create more strategic discussions within the Alliance board. "Synergy" is an overused word, but in this case an entirely appropriate one.

An example of this purposeful fusion is in benchmarking competition. Confidentiality effectively prevents the accurate comparison of performance between two different companies. However, the Alliance transparency policy between Nissan and Renault makes such disclosures natural and beneficial, presenting opportunities to identify avenues of progress from two angles.

Engineering is one specific area where the Alliance presents opportunities for better coordination and resource optimization. Powertrains offer a practical example by combining the expertise and industrial capacity of the current Renault and Nissan workforce, both partners can upgrade the quantity and quality of their output. When engineers challenge each other, better concepts are the rule rather than the exception.

Another prospective area for synergy is in General Overseas Markets (GOM). Further optimization of the Alliance will help us to penetrate these widely dispersed markets, particularly where one partner is present and the other is not. For totally new markets, both companies will meet to decide which will enter first. This is more than just a sales and marketing strategy; it is also about production optimization. One company can use the other's production capacity to test a new market, which lowers cost and risk.

A key here is that both companies must operate in tandem. We will only pursue opportunities that offer a win-win situation. If it is not mutually beneficial, we will either find a way to balance the equation or abandon the project.

In 2004, the Alliance released its Vision-Destination paper to clarify the cooperative aspects that would make both partners successful. It reinforced this unique partnership and set precise targets for the Alliance, including becoming one of the top three automotive groups in quality, key technologies, and total operating profit. Vision-Destination created a positive environment of intramural competition.

The real importance of the Alliance lies in its potential. The two companies do not exist in separate worlds, but they do possess different cultures and strengths. Renault is strong in Europe, which is good for Nissan. Nissan is strong in Japan and North America, which is good for Renault. We can challenge each other, and in doing so, drive ourselves to greater heights.